

26NWCV00444 26NWCV00444

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Case Number: 26NWCV00444 Hearing Date: August 17, 2026 Dept: C

REZA, et al. vs JOS

LEVIN REALTY GROUP OF L.A., et al.

CASE NO.: 26NWCV00444

HEARING: 8/17/26 @ 9:30 AM

#11

TENTATIVE ORDER

Defendants

Joslevin Realty Corp. of L.A., MGMT Group, Inc. and Andy Clapkin's Motion to Strike is DENIED.

Plaintiffs to give NOTICE.

Defendants Joslevin Realty Corp. of L.A., MGMT

Group, Inc. and Andy Clapkin (Defendants) move to strike portions of the Complaint filed by Plaintiffs Felix Herrera Reza and CW Displays, Inc. (Plaintiffs) relating to punitive damages.

Background

Plaintiffs) have been tenants

of a commercial property located at 5802 Soto Street, Huntington Park, California for 22 years, continuously operating their woodworking display business from that location. (Compl. ¶ 3.) Plaintiffs leased the property from the owner Joslevin Realty Corp. of L.A. The lease was allegedly signed by Andy

Clapkin, on behalf of Joslevin Realty Corp. of L.A. The property was managed by Defendants. (Compl., ¶ 8.) Plaintiffs allege that that the property owner and property manager have breached the lease in failing to properly repair damage to the ceiling and roof after a fire that broke out in an adjacent building. They claim that the owner and property manager have failed to address common area issues such as homelessness, drug use/sales, street racing, fecal matter/urine, overgrown vegetation, broken lighting and erratic water pressure. Plaintiffs allege that the owner and property manager improperly increased the common area maintenance ("CAM") charges as well as changing the billing from quarterly to monthly. (Compl., ¶¶ 27–29.)

Based

thereon, Plaintiffs assert causes of action for:

1. BREACH OF WRITTEN

LEASE (FAILURE TO MAINTAIN AND REPAIR);

2. BREACH OF IMPLIED

COVENANT OF QUIET ENJOYMENT / CONSTRUCTIVE EVICTION;

3. BREACH OF THE

IMPLIED COVENANT OF GOOD FAITH AND FAIR DEALING;

4. BREACH OF CONTRACT –

IMPROPER CAM CHARGES / OVERBILLING;

5. PRIVATE NUISANCE;

6. NEGLIGENCE /

PREMISES LIABILITY;

7. NEGLIGENT

INTERFERENCE WITH PROSPECTIVE ECONOMIC ADVANTAGE;

8. VIOLATION OF BUS.

& PROF. CODE § 17200 ET SEQ. (UNFAIR COMPETITION);

9. FINANCIAL ELDER

ABUSE (WELF. & INST. CODE § 15610.30);

10. DECLARATORY AND
INJUNCTIVE RELIEF;

11. ACCOUNTING AND
RESTITUTION.

Legal
Standard

The
grounds for a motion to strike are that the pleading has irrelevant, false or improper matter, or has not been drawn or filed in conformity with laws. (CCP §436.) In ruling on a motion to strike punitive-damages allegations, judges assume the truth of the pleading allegations. (Kaiser Foundation Health Plan, Inc. v. Sup. Ct. (2012) 203 Cal.App.4th 696, 699 n.1.) Motions to strike punitive damages may be granted, where the alleged facts do not support conclusions of malice, fraud or oppression. (Turman v. Turning Point of Central Calif., Inc. (2010) 191 Cal.App.4th 53, 63.)

“Malice”
is defined as conduct intended to cause injury to a person, or despicable conduct carried on with a willful and conscious disregard for the rights or safety of others. (Cal. Civ. Code § 3294(c)(1); Turman v. Turning Point of Cent. Cal., Inc. (2010) 191 Cal.App.4th 53, 63.) “Oppression” means despicable conduct subjecting a person to cruel and unjust hardship, in conscious disregard of the person's rights. (Turman v. Turning Point of Cent. Cal., Inc. (2010) 191 Cal.App.4th 53, 63.) “Fraud” is an intentional misrepresentation, deceit, or concealment of a material fact known by defendant, with intent to deprive a person of property, rights or otherwise cause injury. (Ibid.)

Where
the defect raised by a motion to strike or by demurrer is reasonably capable of cure, “leave to amend is routinely and liberally granted to give the plaintiff a chance to cure the defect in question.”... A pleading may be stricken only upon terms the court deems proper..., that is, terms that are just.... It is generally an abuse of discretion to deny leave to amend, because the drastic step of denial of the opportunity to correct the curable defect effectively terminates the pleader's action.” (Velez v. Smith (2006) 142 Cal.App.4th 1154, 1174-75.)

Discussion

ELDER

ABUSE: financial abuse of an elder occurs when any person or entity takes, secretes, appropriates, or retains real or personal property of an elder adult to a wrongful use or with an intent to defraud, or both. A wrongful use is defined as taking, secreting, appropriating, or retaining property in bad faith. Bad faith occurs where the person or entity knew or should have known that the elder had the right to have the property transferred or made readily available to the elder or to his or her representative. (Welf. & Inst.Code, § 15610.30; *Teselle v. McLoughlin* (2009) 173 Cal.App.4th 156, 174.)

Defendant

moves to strike the recovery of punitive damages from the Complaint on the grounds that Plaintiffs fail to support the claims with specific factual allegations as required under Civil Code § 3294 and Cal. Civ. Code § 15610, et seq. and established case law. Defendant argues Plaintiffs' factual allegations do not support punitive damages because they arise from a breach of contract – namely the lease. Punitive damages may not be granted in an action based on breach of contract, even though breach was willful or fraudulent. (*Croghan v. Metz* (1957) 47 Cal.2d 398.) In the absence of an independent tort, punitive damages may not be awarded for breach of contract, even where the defendant's conduct in breaching the contract was willful, fraudulent, or malicious. (*Cates Construction, Inc. v. Talbot Partners* (1999) 21 Cal.4th 28.)

In

opposition, Plaintiffs argue that Defendants' motion succeeds only if the Court reads paragraph 91 in isolation, disregards the ninety paragraphs preceding it, and accepts Defendants' revision of the Complaint as an ordinary dispute over lease performance. Indeed, Plaintiffs underscore that the Complaint alleges that Defendants knowingly demanded and retained dramatically inflated common-area-maintenance charges from a 70-year-old, long-term commercial tenant; collected money for maintenance and services they allegedly did not provide; ignored repeated notices concerning leaking roofs, human waste, criminal activity, broken lighting, unsafe common areas, and deteriorating conditions; and used their control over the property and Herrera's dependence upon his long-established business location to pressure him into continuing to pay unjustified charges or abandoning his livelihood. Therefore, those allegations are expressly incorporated into the financial elder-abuse cause of

action.

The

Court finds that Plaintiff has met the heightened pleading burden for punitive damages. For purposes of an elder abuse claim relating to breach of contract, wrongful conduct occurs only when the party who violates the contract actually knows that it is engaging in a harmful breach, or reasonably should be aware of the harmful breach. (Paslay v. State Farm General Ins. Co. (2016) 248 Cal.App.4th 639.) To establish a “wrongful use” of property to which an elder has a contract right, the elder must demonstrate a breach of the contract, or other improper conduct. (Id. at 657.) Additionally, under subdivision (b) of 15610.30, wrongful conduct occurs only when the party who violates the contract actually knows that it is engaging in a harmful breach, or reasonably should be aware of the harmful breach. (Id. at 658.)

The

following are the relevant allegations:

Plaintiffs sufficiently

allege Reza is an elder within the meaning of Welfare and Institutions Code section 15610.27, in that he is “70 years old and has operated CW Displays from the premises for approximately 22 years.” (Compl., ¶¶ 1–3, 14.)

Plaintiffs sufficiently

allege who is responsible for the wrongful conduct: “Defendant Andy Clapkin is vice president and/or principal of Jos Levin, to have signed the lease for the landlord, and to have exercised control over maintenance decisions, common area maintenance (CAM) charges, and dealings with Plaintiffs.” (Compl., ¶ 8.)

As to the breach of

contract, Plaintiffs allege that “Pursuant to the Lease, Jos. Levin expressly and/or impliedly agreed to: a. Maintain and repair the roof, ceilings, and structural components of the building; b. Maintain the common areas, including parking areas, walkways, and landscaping, in a clean, sanitary, and safe condition; c. Provide lighting and other basic services in the common areas consistent with a commercially reasonable standard for similar properties; and d. Allow Plaintiffs quiet and peaceful enjoyment of the Premises for use as a woodworking display business.” (Compl., ¶ 38.)

As to what the wrongful conduct was, Plaintiffs sufficiently allege: “Beginning October 1, 2023, Defendants allegedly changed CAM billing from quarterly to monthly and increased Plaintiffs’ CAM obligation from approximately \$30 per month to approximately \$244.48 per month or more.” (Compl., ¶¶ 27–29.)

“MGMT and Jos. Levin did not provide proper written notice or justification under the Lease or applicable law for this dramatic increase. Plaintiffs were given a formula but no meaningful explanation of what common-area services justified such an increase—particularly in light of the obvious decline in services (no security, no proper cleaning, no effective maintenance). Plaintiffs are informed and believe, and on that basis allege, that Defendants overstated CAM expenses, allocated expenses improperly to Plaintiffs, and/or used CAM charges as a vehicle to extract additional revenue while failing to provide the promised services.” (Compl., ¶¶ 29–30.)

Plaintiffs allege they repeatedly reported the safe and unsanitary conditions “to MGMT and Jos. Levin through emails, photographs, and videos, and even called law enforcement several times to address the homeless encampments and criminal activity.” (Compl., ¶ 24.)

Plaintiffs contend that Defendants allegedly overstated or improperly allocated expenses, used CAM charges to extract additional revenue, collected at least \$5,378.56 in improper increases, and continued demanding the inflated charges while providing fewer services. (Compl., ¶¶ 30–31, 55–59.)

The ninth cause of action for elder abuse alleges that Defendants took, obtained, and retained Herrera’s money and rights under the lease for a wrongful use, with intent to defraud, or by undue influence. (Compl., ¶ 87.) It identifies the wrongful conduct as:

“1. collecting charges beyond what was contractually or factually warranted;

2. retaining the payments while providing fewer services and allowing the property to become unfit for Herrera’s business;

3. ignoring Herrera's

pleas while knowing his age, long tenancy, and dependence upon the location;
and

4. using superior

control over the property to pressure an elderly small-business owner to pay
unjustified charges or abandon his livelihood."

(Compl., ¶ 88.)

Civil Code Sec. 3294

requires "there be specific and detailed allegations that wrongful acts were
done with the knowledge, or under the direction of officials who have the power
to bind the corporation" for a corporation to be exposed to punitive damages. (Toole
v. Richardson-Merrell, Inc. (1967) 251Cal.App.2d 689; Scannell v. County
of Riverside (1984) 152 Cal.App.3d 596, 614.) Plaintiffs have sufficiently alleged
facts to demonstrate Plaintiff Herrera is an elder under the statute,
Defendants contracted to safely maintain the conditions in the property but
failed to do so, and Defendants had advance knowledge of the dangerous and
unsanitary conditions on the Property, and should have reasonably been aware of
the harmful breach. (Paslay v. State Farm General Ins. Co. (2016) 248
Cal.App.4th 639, 658.) Finally, at the pleading stage, along with Plaintiff's
allegations of the harmful breach, it is sufficient that Plaintiffs states the
reason the breach was harmful under the elder abuse statute was because of
Defendants' use of "superior control over the property to pressure an elderly
small-business owner to pay unjustified charges or abandon his livelihood." (Compl.,
¶ 88.)

Accordingly,

the motion to strike is DENIED.